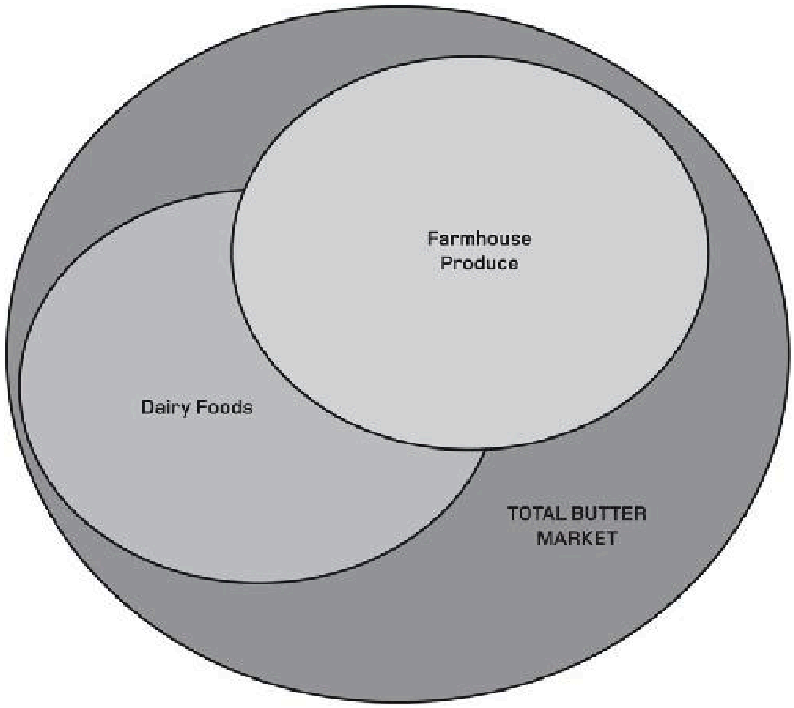
Competition policy



Standard economics sees competition as leading to an efficient allocation of resources: when firms compete, they supply what consumers want at low prices. But often markets deviate from this ideal. The aim of competition (or anti-trust) policy is to *ensure* market competition. Suppose that Dairy Foods is contemplating a merger with Farmhouse Produce. Both are major suppliers of butter and if combined they would control 75 per cent of the butter market. The question for the competition authorities is whether this large market share would allow the merged firm to act like a monopoly and raise prices – if so, then it might forbid the merger. If there were products that consumers considered to be substitutes for butter – margarine perhaps – then the 75 per cent butter share would imply a lower degree of market power. Other anti-competitive practices that competition policy tries to counter include collusion between firms to fix prices in cartels (see Cartels), and the predatory use of very low prices to drive competitors from the market (see Predation).